
UNIT 3 BASIC BUSINESS ACCOUNTING

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3.0 OBJECTIVES

The main objective of this Unit is to:

- understand the framework of accounting, focusing on its process and the concept of financial statements;
- recognise the importance of financial markets in the Indian economy through a focus on real assets and financial assets;
- interpret the macroeconomic analysis of flows which incorporates national accounts, flow of funds accounts, international transactions etc. and
- know the certain features of the rate of interest.

3.1 INTRODUCTION

The main objective of this unit is to illustrate the basics of accounting which is usually recognised as the language of business. In financial terms, it

implies that accounting is the process of recording and reporting of business transactions (monetary terms) which enable users (owners, management, employees, banks etc.) to make appropriate judgements and decisions. Accounting is a significant tool to understand the functioning of financial markets. The concept of stocks and flows play an important role in grasping the economic meaning of accounting.

The accounting process normally starts with an economic activity which is then originated in the form of a document or a voucher. Several copies of the voucher are sent to the accounts department where they are recorded, analysed and kept in the books of accounts. After the recording of the transaction, classification is the next step which includes posting transactions in ledgers and further summarising them in the form of trial balance, trading profit and loss account and balance sheet. The next step is the analysis and interpretation and finally communication of the essential information to the users for financial decision-making.

It is necessary to understand the difference between stocks and flows to understand accounting. Thus, these concepts are well defined in Section 3.2 illustrating the statements such as balance sheet, income statement and cash flow statement.

The purpose of Section 3.3 is to outline a framework of real assets and financial assets and their disclosure in the balance sheet. Real assets are the assets used to produce goods and services. Financial assets are considered as claims on real assets or the income generated by them. The building is a real asset that is created. On the other hand, the loan is a financial asset which is designed by the transaction.

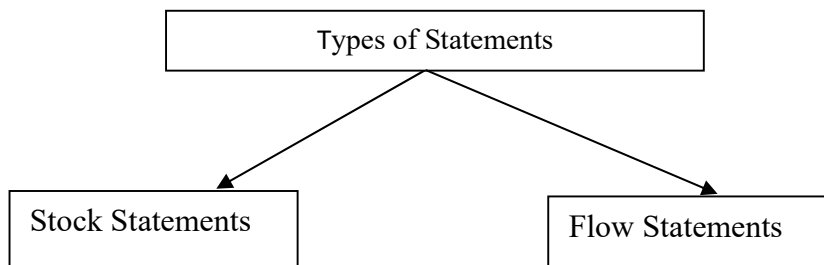
A macro-economic analysis is explained in Section 3.4 which covers national income accounts and national product accounts. Another tool of macro-economic analysis is the flow of funds accounts which is described in Section 3.5. Several indicators of financial development are also emphasized.

A fundamental distinction is made between stock and flow. Both concepts are used in calculating the national income of the country. For instance, saving is recognized as stock and investment is recognized as flow. The relationship between savings and investment is described in Section 3.6.

The importance of exchange rates in the international financial markets is explained in Section 3.7. The rate of interest is well-defined in Section 3.8 regarding the barter system and its impact on the economy. Rates of interest further emphasize how the emergence of the monetary system influences it. Government borrowing represents the government's process of raising money by issuing bonds or other securities to investors and it discusses in Section 3.9 that how government borrowings are financed. Lastly, the importance of nominal and real interest rates in the financial system is being elaborated in Section 3.10.

3.2 BASIC CONCEPTS OF ACCOUNTING

Accounting concepts imply the basic assumptions which are the building blocks of any business entity. Based on these assumptions, financial statements are prepared. In the context of accounting, two types of statements are reflected in the figure



The balance sheet is usually referred to as the stock statement. Flow Statements are further demarcated into two kinds i.e., cash flow statement and income statement. These statements are meant for business firms as well as for individuals.

3.2.1 The Balance Sheet

Balance Sheet is the statement which discloses the financial condition of the firm at a specific point in time. The balance sheet aims to ascertain the amount of assets the firm owns and the amount of liabilities it owes to outside parties. Assets are the resources owned by the business expecting to have benefits in the future. On the other hand, liabilities are represented as the borrowings or the obligations of the firm. Net worth is the difference between assets and liabilities which reflects the value of the firm. An illustrative balance sheet of firm is depicted in the table 3.1.

Table 3:1 Balance Sheet as on 2020 and 2021 (millions)

Particulars	2020	2021
Assets		
Cash	70	90
Accounts Receivable	210	200
Land and Building	180	180
Plant and Equipment	700	720
Inventories	160	140
Total Assets	1320	1330
Liabilities		
Loan from Bank	400	300
Accounts Payable	100	150

Mortgages and Bonds	560	540
Total Liabilities	1060	990
Net Worth	260	340

Cash is an important component for every firm which includes currency and readily available bank deposits. Accounts payable implies creditors and bills payables i.e., payable to the firm's suppliers. Bank loans also represent a liability. Accounts receivables imply debtors and bills receivables i.e., the amount received from the firm's customers. Some adjustments might be required for bad debts (amount uncollected from debtors or customers). Taking into consideration the value of the firm, land and building as well as plant and equipment are reflected at their historical costs as per the accounting convention. However, certain economists would value the land, plant and equipment at current value. Therefore, to avoid this complexity, the firm's financial statements are being prepared in conformity with Generally Accepted Accounting Principles (GAAP). The purpose of these principles is to prohibit misrepresentation and to provide accounting insight. This is also shown in the table that the assets such as plant and equipment and other categories normally lose their value because of wear and tear which is called depreciation. Depreciation is normally deducted from the value of the asset and the balance sheet reflects the depreciated value of the asset. Inventories which are also in the category of assets comprise raw materials (inputs), finished products (produced but not yet sold) and work in progress (in process).

Lastly, the category of liabilities is the mortgages and bonds which are shown as face or par value as per GAAP. However, bond prices normally fluctuate if traded in the credit or bond market. The firm would value the bonds at the market price if it is less than the face value of the bond as the bonds can be bought back at the price by the debtor.

3.2.2 The Cash Flow Statement

A cash flow statement is a statement of inflows and outflows of cash of the business firm during the accounting period. This statement summarises the cash transactions into certain categories such as operating, investing and financing activities.

Operating activities are involved in the activities which produce revenue such as cash receipts from the sale of goods and providing services, cash payments to employees etc.

Investing activities comprise of purchase and sale of long-term assets such as cash payments to purchase fixed assets.

Financing activities involve those activities which result in changes in the size and composition of the owner's capital (both preference and equity

shares) and borrowings of the firm such as cash received from issuing shares, payment of cash dividends etc.

3.2.3 The Income Statement

Though the cash flow statement provides information about the cash flows of the firm during a period this information is restricted to the extent of cash flows from operating, investing and financing activities. This statement neither reflects the revenues recognized nor the expenses incurred during the period. It is mainly the income statement which displays the revenues recognized and expenses incurred. Revenues are generally recognized in the period in which goods are delivered and services are offered. It is not necessary to make payment at that period. Expenses are used in the generation of revenues irrespective of whether the cash was used to pay those expenses.

The income statement is prepared by the business firm before the cash flow statement is prepared.

Therefore, there is no direct relationship between the income earned and cash flows associated with the period.

3.3 REAL ASSETS AND FINANCIAL ASSETS

Real assets and financial assets are two different kinds of assets, each with its own features and investment opportunities.

Real assets are tangible assets, such as real estate, land, machinery, and commodities, that have intrinsic (fair) value due to their physical properties or usefulness. These assets can generate income or appreciate over time. These assets are often used as a hedge against inflation. Financial assets, on the other hand, are intangible assets, such as stocks, bonds, mutual funds, and currencies, that represent a claim to expected cash flows or certain ownership rights. These assets have a major hold in the financial markets and demand and supply forces determine the value of financial assets.

The relationship between real assets and financial assets is complex and dynamic. In general, the performance of real assets can impact the performance of financial assets and vice versa. For example, a rise in the value of real estate appreciated the value of real estate investment trusts (REITs), which are financial assets that invest in real estate properties. Similarly, fluctuations in commodity prices can influence the performance of mutual funds which invest in commodities. Financial assets, such as stocks and bonds, can also impact real assets. For example, changes in interest rates can impact the demand for real estate, as higher interest rates can make it more expensive for people to borrow money to buy a house. Stock market fluctuations can also impact investor confidence, which can affect investment decisions in real assets.

To conclude, it can be said that both real assets and financial assets have different investment opportunities and bear their risks and returns. A balanced investment strategy can be achieved by incorporating a mix of both assets by diversifying into portfolios.

Disclosure of Real Assets and Financial Assets in the Balance Sheet of the Firm

Because of varying characteristics, both real assets and financial assets are disclosed separately in the balance sheet of the firm. Real assets, such as property, plant, and equipment (PPE), are typically known as long-term assets and are shown under the non-current assets of the balance sheet. PPE includes assets that have a useful life of more than one year, such as land, buildings, machinery, and equipment. These assets are usually reported at their historical cost less accumulated depreciation, which reflects the wear and tear or obsolescence of the assets over time. Real assets can also include other long-term assets such as patents, copyrights, and trademarks, which are intangible but still have a real value to the company.

Financial assets, such as cash, accounts receivable, and investments in securities, are typically classified as either current or non-current assets, depending on their liquidity and expected holding period. Current assets are assets that are expected to be converted into cash within one year, while non-current assets are assets that are expected to be held for more than one year. Financial assets are usually reported at their fair market value or market price, which reflects the current market value of the asset at the time of the balance sheet.

Check Your Progress 1

- 1) What is meant by accounting? Demonstrate the types of statements prepared by the business entity during an accounting period.

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- 2) Discuss the relationship between real assets and financial assets and how they are disclosed in the balance sheet of the firm.

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3.4 THE NATIONAL ACCOUNTS

The macroeconomic analysis is best known through the system of National Income Accounts. We have already learned concept related to National Income in macro economics let us briefly discuss them again. Production is measured in the economy and earnings are also measured that are derived from production.

The concept of flow is classified into two: National Product and National Income which are used to measure the overall economic performance of the country.

National income refers to the total income earned by a country's residents. This comprises wages, salaries, profits, and rental income. It is computed by summing up all the income earned in a country during a given period, usually a year. A country's economic well-being is measured by the national income which shows the capability of the residents to consume goods and services.

National product, on the other hand, is the total value of all goods and services produced within a country's borders in a given period, usually a year. It is computed by summing up the value of all final goods and services produced in a country, regardless of who produced them. National product comprehends both goods that are traded in the market and those that are meant for personal use, like homemade vegetables. National product is measured by Gross Domestic Product (GDP) and Gross National Product (GNP).

Gross Domestic Product (GDP) is a broad measure of the output of goods and services in an economy. It is generally the compilation of value-added output. GDP is measured either through the production side or through the consumption side. GDP is categorized into three sectors if measured through production i.e., agriculture, industry and services. However, from the consumption or expenditure point of view, GDP is the summation of private consumption, government consumption, investment and net exports.

- *Private Consumption:* This is the amount spent by households on goods and services, including durable goods (such as cars and appliances), non-durable goods (such as food and clothing), and services (such as healthcare and education).
- *Investment expenditure:* This is the amount spent by businesses on new capital goods, such as machinery and buildings, as well as on research and development.
- *Government expenditure:* This is the amount spent by the government on goods and services, including public infrastructure, defence, and social programs.
- *Net exports:* This is the difference between a country's exports (goods and services sold to other countries) and its imports (goods and services

bought from other countries). A positive net export balance means a country is exporting more than it is importing, while a negative balance means it is importing more than it is exporting.

GDP at factor cost by economic activity is adjusted by adding indirect taxes net of subsidies to arrive at estimated GDP at market prices so that it equals the expenditure on gross domestic product. The Gross National Product (GNP) at factor cost is arrived at by adding foreign income such as repatriated income, profits and royalties from abroad to the GDP at factor cost.

The Net National Product (NNP) is the net production of goods and services in a country during the year. It is simply the GNP adjusted for depreciation charges. The NNP gives a picture of the net increase in the total production of the country. It assists in the analysis of the long-run complexity of maintaining and enhancing the supply of physical capital in the country.

3.5 FLOW OF FUNDS ACCOUNTS

The Flow of Funds Accounts (FFA) is a macroeconomic tool which tracks the flow of funds within an economy. The FFA provides a widespread overview of the generation of funds and their distribution and utilization in an economy.

The FFA is concentrated by the Federal Reserve System of the United States, and it comprises statistics on certain sectors of the economy, such as households, businesses, government, banking and financial institutions and the rest of the world. There is confined tracking regarding the movement of funds between these sectors through varied financial instruments, like stocks, bonds, and loans.

The FFA is bifurcated into two main sections: the Asset and Liability section and the Transactions section. The Asset and Liability section gives detailed information on the financial assets and liabilities of each sector, while the Transactions section offers information on the financial transactions between the sectors.

Some of the instances of information offered by FFA are as follows:

- 1) Variation in the net worth of each sector.
- 2) The amount of credit outstanding in each sector.
- 3) The amount of equity outstanding in each sector.
- 4) The flow of funds between sectors, such as household savings being invested in business or government securities.
- 5) The composition of the financial assets and liabilities of each sector, such as the type of financial instruments held.

The FFA is an important macroeconomic tool for policymakers, researchers, analysts, and investors in recognizing the value of the financial structure of an economy and keeping track of the flow of funds between sectors. It can be used to explore potential areas of risk, monitor trends in investment patterns, and make policy judgements and decisions related to monetary and fiscal policy.

Apart from sector-wise information, the flow of funds is also organized along the financial instruments dimension. The macroeconomic analysis instrument-wise shows the aggregate preference of various sectors for different financial instruments. Financial claims are classified into two categories:

- Primary Issues or Direct Securities which incorporates all kinds of debt, marketable or issued by borrowers.
- Secondary Issues or Indirect Securities which incorporates debt and claims issued by financial intermediaries to acquire primary securities.

The total flow of finance is the sum of funds lifted by primary and secondary issues.

Flow of Funds-based Indicators of Financial Development

Goldsmith (1969) designed some ratios which contributed to understanding the role of financial development in the country. These ratios are termed financial deepening ratios.

Finance Ratio: This ratio indicates the financial structure of economic growth. This is defined as the total financial claims i.e., both primary issues and secondary issues divided by the national income.

$$FR = \frac{\text{Total Financial Claims}}{\text{National Income}}$$

Financial Inter-Relation Ratio (FIR): This ratio is the indicator of financial issues regarding capital formation of the economy. This demonstrates the relationship between financial structure and the real asset structure of an economy.

$$FIR = \frac{\text{Financial Assets (Total Issues)}}{\text{Physical Assets (Net Domestic Capital Formation)}}$$

New Issue Ratio (NIR): It is the proportion of primary issues to net domestic capital formation. This implies how primary or direct issues to the savers have financed the investment by the investing sectors.

$$NIR = \frac{\text{Primary Issues}}{\text{Net Physical Investments (Net Domestic Capital Formation)}}$$

Intermediation Ratio (IR): It is the indicator of secondary issues to primary issues and provides the significance of financial intermediaries in channelling